

SECTION 01

01

Functional food and beverage market

What functional means, how fast it's growing, and who is buying

What does functional mean? What health benefits do consumers want?

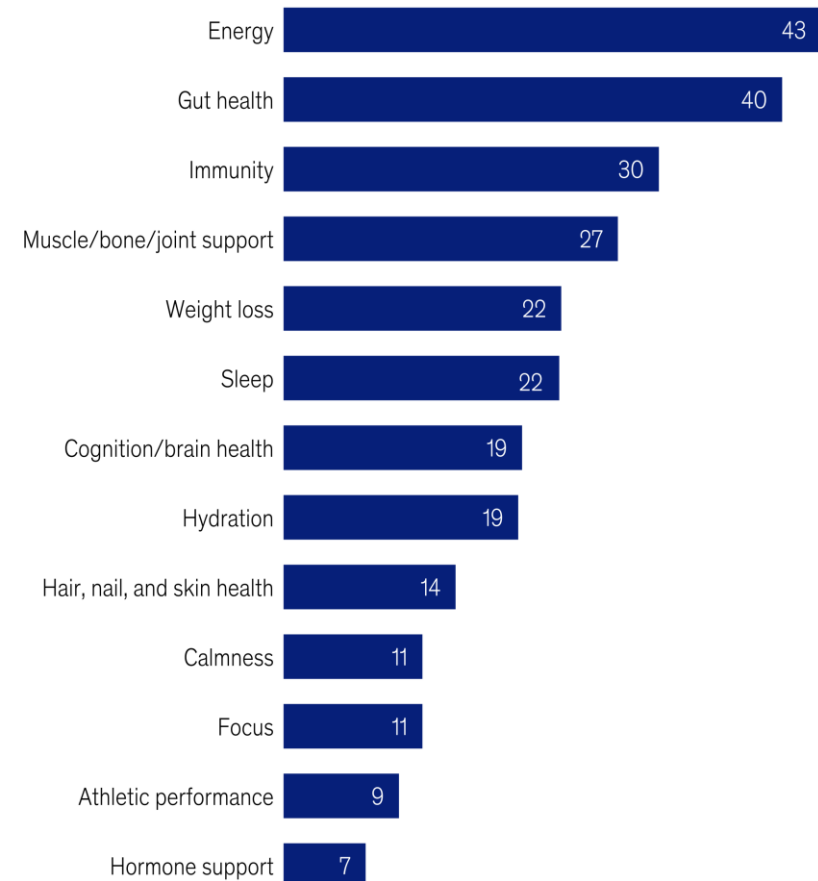
THE INTERSECTION OF SUPPLEMENTS AND FOOD

- Provides **health benefits** beyond basic nutrition
- Fortified, enriched, or modified with added **vitamins, minerals, probiotics, amino acids, and botanical extracts**
- Wide category from energy drinks to protein bars to yogurt with live cultures and grain-based products
- Designed to help manage specific goals such as cardiovascular health, weight management, or immunity

THE REGULATORY GAP

The FFDCA gives **no specific definition** for 'functional food,' so the FDA has no dedicated regulation for the category

Top benefits sought out by functional-nutrition purchasers,¹
% of functional-nutrition purchasers, 2024 (n = 638)



Gut Health is #2

40% want functional gut health products

How big is the market? What's driving growth?

THE MARKET TODAY

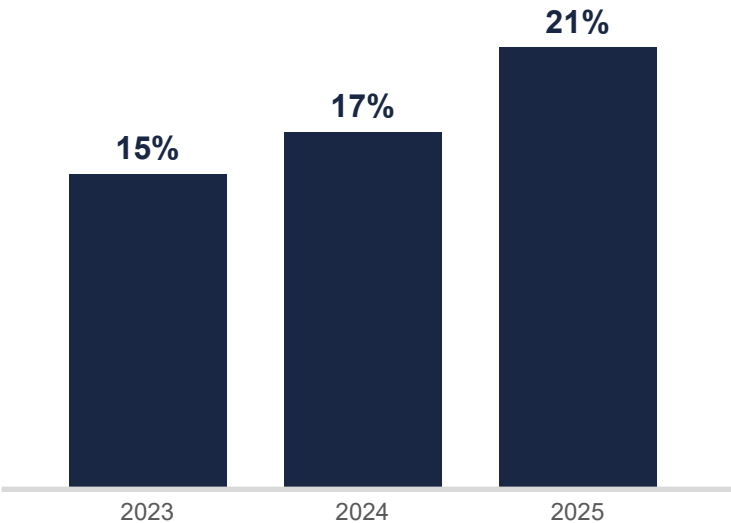


7.3% CAGR · ~\$24B of new demand

CATEGORY SPLIT



% OF NEW US FOOD & DRINK LAUNCHES WITH A FUNCTIONAL CLAIM



WHAT'S DRIVING GROWTH

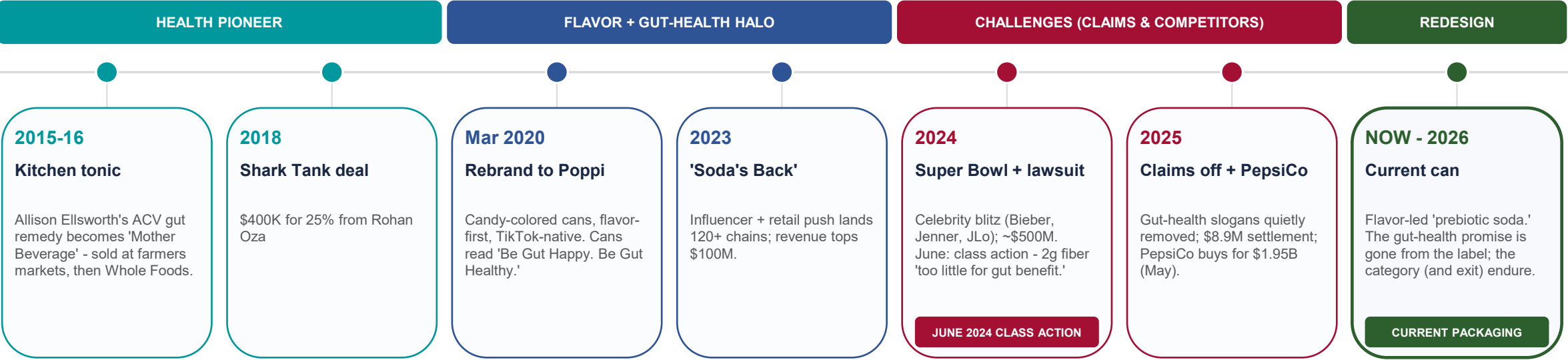
- 1 Preventative health & education**
US wellness is a >\$500B market growing 4–5% a year. People increasingly manage health through daily food and are better informed on ingredients and benefits.
- 2 Doing more per dollar**
Food prices up ~30% over six years (US/UK/Europe); shoppers trade toward higher-benefit products, away from incumbents.
- 3 Rise of independent brands**
Disruptive brands are challenging slower-moving incumbents
- 4 New formulation technology**
Advances in ingredients and processing make functional benefits deliverable in mainstream, great-tasting food.

How do new functional categories evolve over time? Poppi case study

REVENUE GROWTH



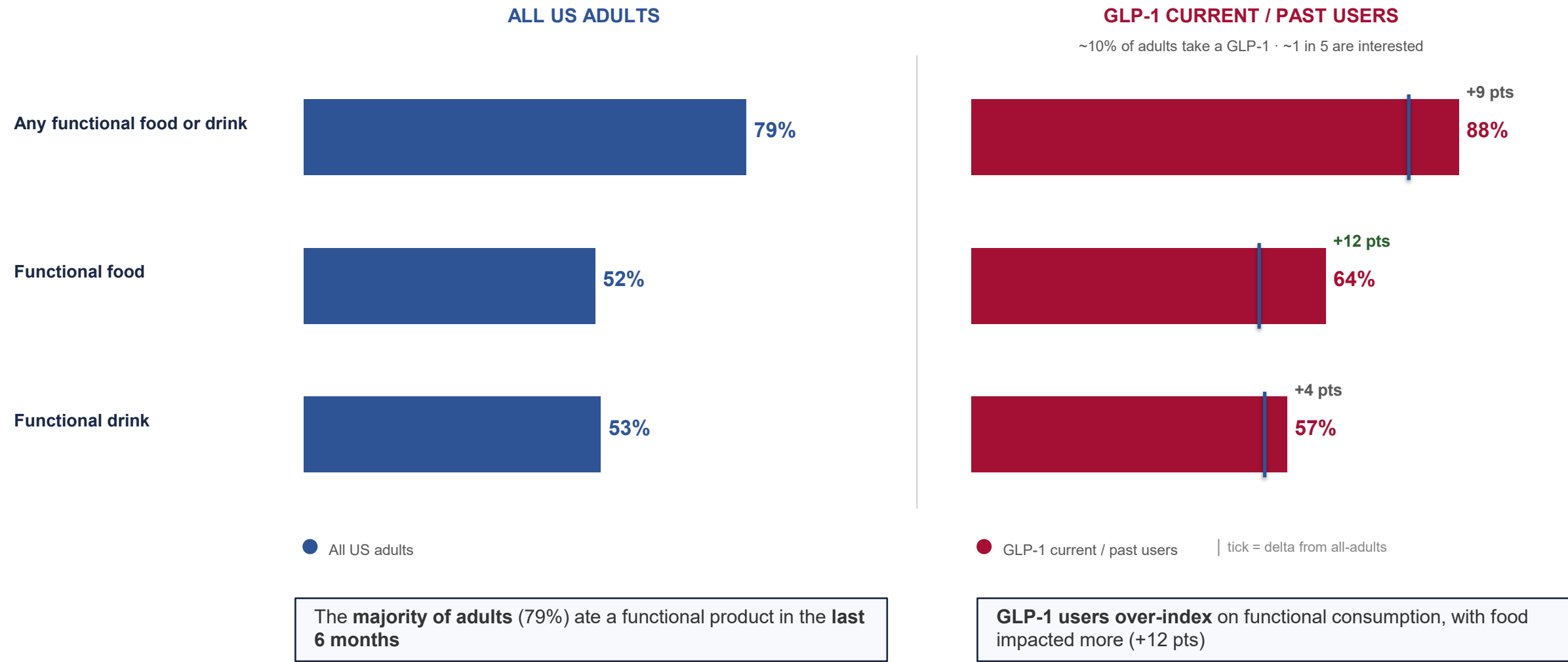
BRAND AND MARKETING STRATEGY



Once category was proven, competition accelerated



Who purchases functional CPG? How does consumption vary with GLP-1 users?



SECTION 02

02

Framework to Evaluate Functional Brands

Four key questions

Evaluating functional food & beverage companies

1

Who is the target market?

- Gen Z
- Millennials
- Gen X
- Baby Boomers

2

What functional claims are made?

- Energy
- Gut health
- Immunity
- ...

3

How credible is the brand with consumers?

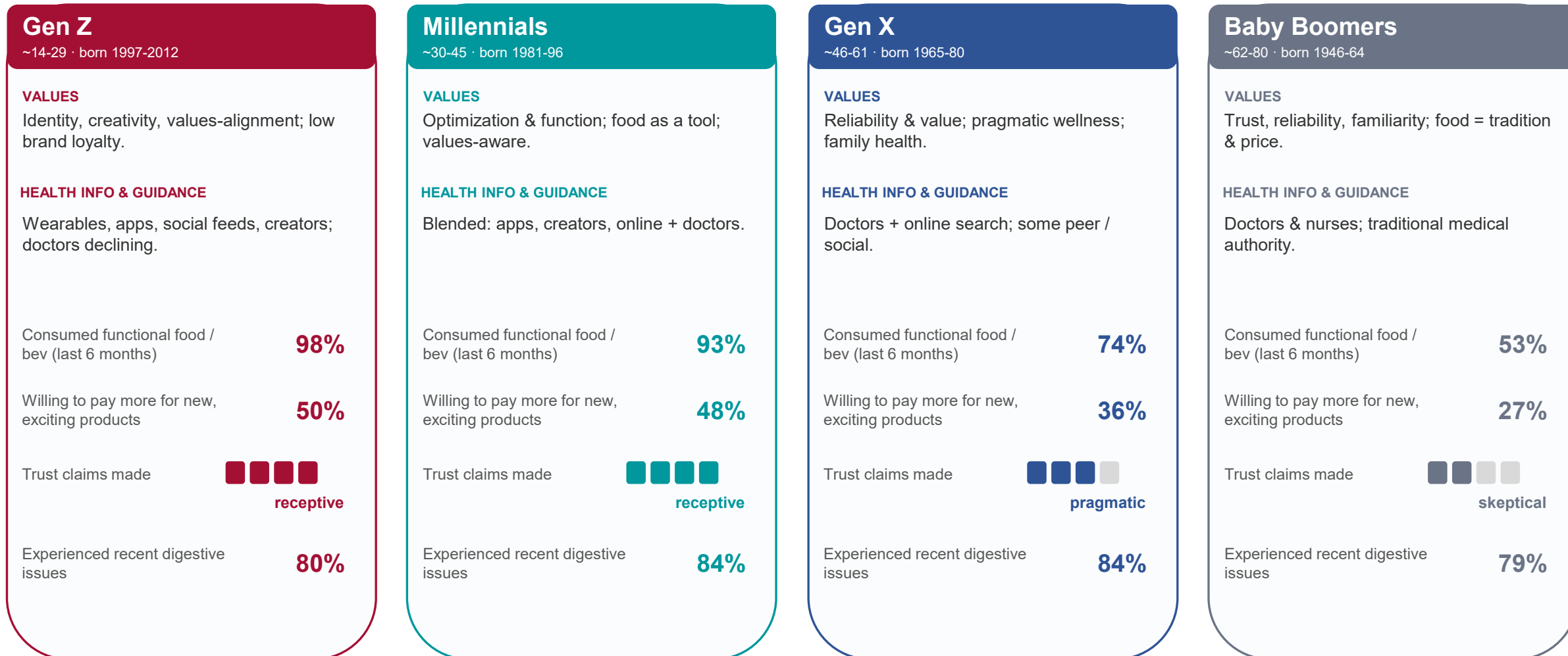
- How strong is the function – benefit link? How fast are the outcomes experienced?
- Who is the face of the business?
- Where is the product distributed?

4

How defensible is the company?

- Patent / Trade secret
- Own research and thought leadership
- Scale
- Culturally Resonant Brand
- Community

1 Who is the target market?



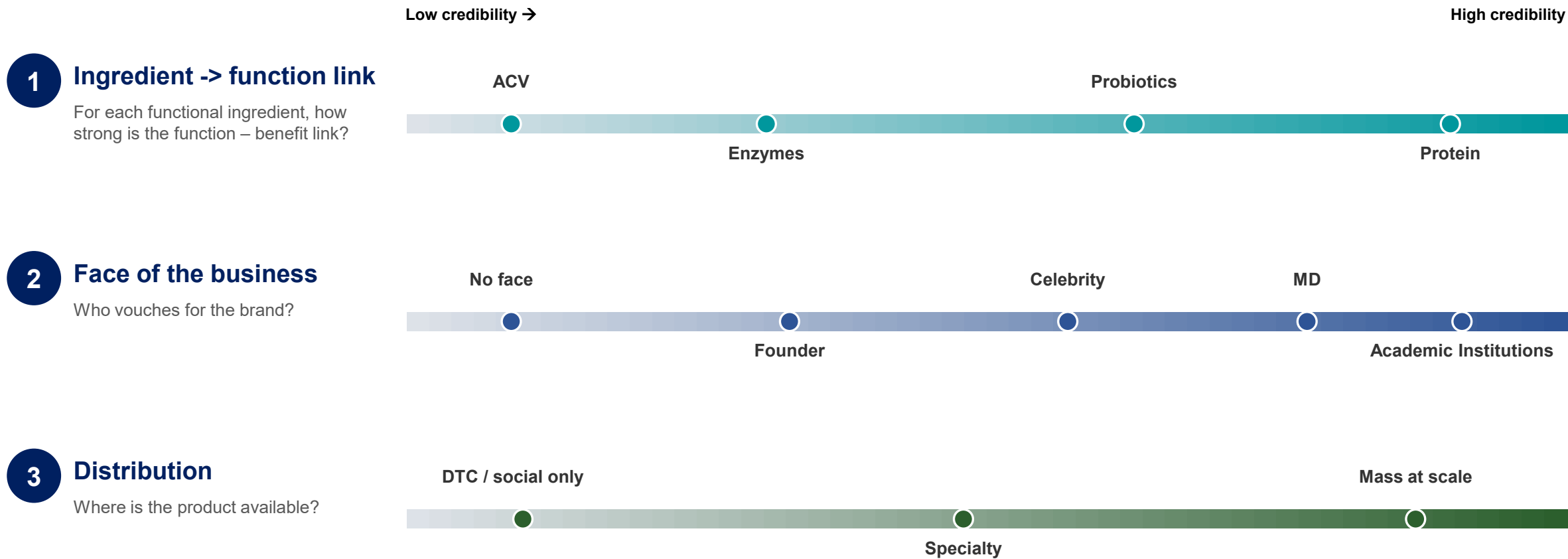
2 What functional claims are made?



Most brands promise multiple benefits. Protein is the main adjacency Weight loss can be implied without explicitly stated.

3 How credible is the brand with consumers?

3 DRIVERS OF CONSUMER CREDIBILITY

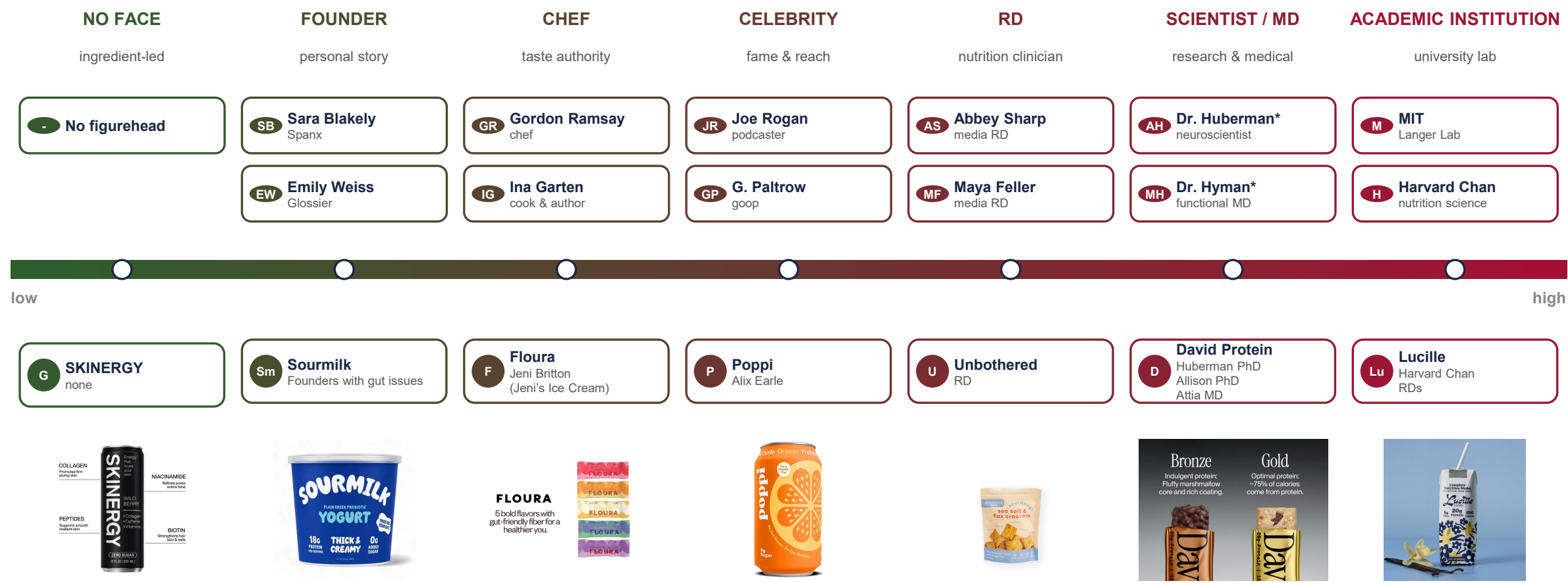


3 Credibility: How strong is the function – benefit link?

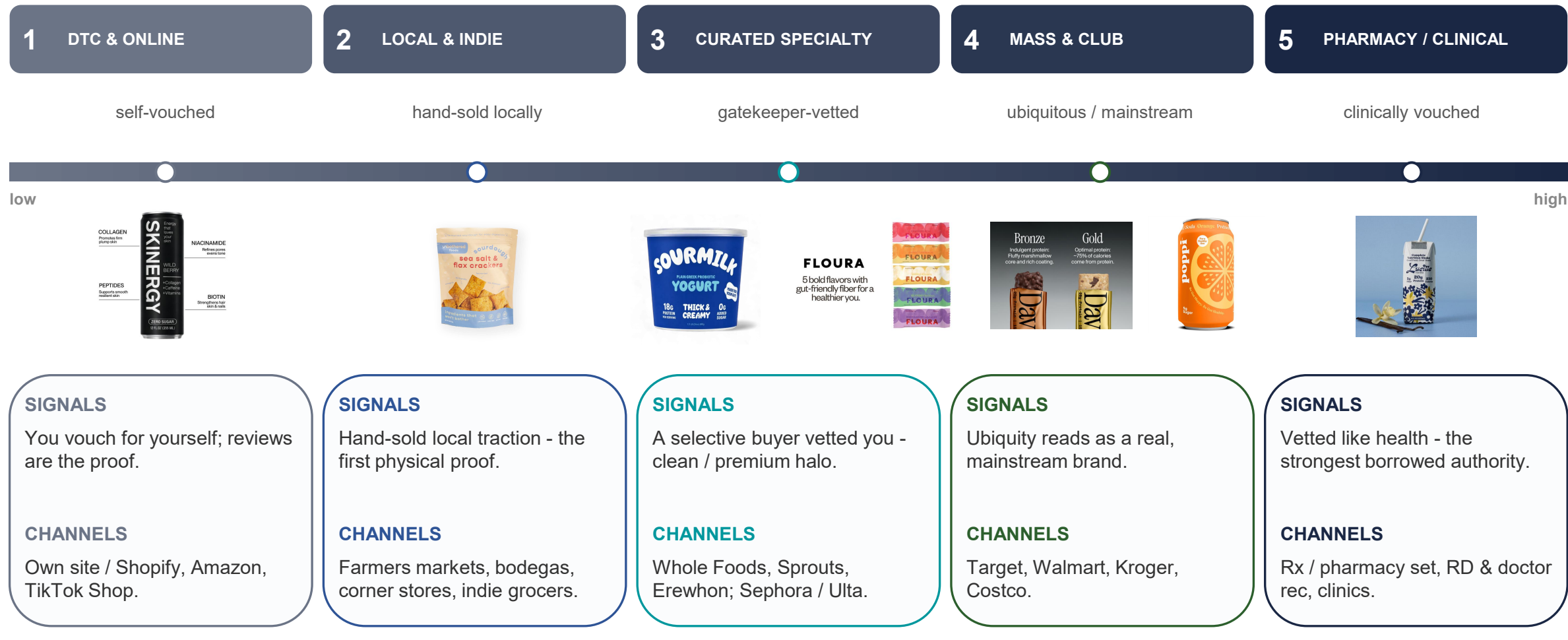
CATEGORY	OUTCOME SPEED	EVIDENCE STRENGTH			
		SKEPTICAL weak / negative	TOO EARLY thin data	MIXED dose / case-dependent	ACCEPTED strong evidence
Energy	~minutes	B-vitamins*, Taurine	Adaptogens (ashwagandha)	L-theanine (+ caffeine)	Caffeine (green tea)
Gut health	hours-weeks	Apple cider vinegar	Digestive enzymes, A2 dairy	Fermented foods, kombucha	Probiotics*, Prebiotics*, Fiber
Immunity	days-weeks	'Immune-boost' megadoses	Elderberry, beta-glucans	Zinc, Vitamin C	Vitamin D (if deficient)
Muscle / strength	weeks	'Test boosters'	BPC-157 (peptide)	BCAAs, HMB, Collagen	Protein, Creatine
Weight mgmt.	weeks-months	Garcinia, 'fat burners'	Prebiotic fiber → appetite	Green-tea catechins	Protein (satiety), Fiber
Sleep	~30-60 min	Proprietary 'sleep blends'	Valerian, CBD	Magnesium, Glycine, tart cherry	Melatonin (short-term)
Cognition / brain	mins-weeks	Ginkgo, 'nootropics'	Lion's mane, Citicoline	Omega-3 DHA, L-theanine	Caffeine (alertness)
Hydration	~minutes	Alkaline / structured water	'Cellular hydration'	Coconut water	Electrolytes (Na / K)
Skin / beauty	weeks-months	Biotin* (non-deficient)	Ceramides, oral peptides	Collagen peptides*, HA	Vitamin C (collagen)
Calmness / stress	mins-weeks	'Calm' proprietary blends	CBD, Rhodiola	Ashwagandha, Lemon balm	L-theanine, Magnesium
Focus	~minutes	'Nootropic' proprietary	Lion's mane, Ginkgo	Citicoline, Tyrosine	Caffeine + L-theanine
Athletic perf.	acute-weeks	'Test boosters', ketones	Nitrates / beetroot, HMB	BCAAs, Beta-alanine	Creatine, Caffeine, Protein
Hormone support	weeks-months	'Hormone-balance', DIM	Maca, seed cycling	Ashwagandha, Spearmint	Few OTC; fiber, soy (modest)

Evidence strength is one test; **how fast a benefit** is felt is the other. Energy, hydration and focus are felt in minutes (self-validating); gut, weight and skin take weeks (faith-based) so they lean harder on trusted proof

3 Credibility: Who is the face of the brand and how much credibility does it lend?



3 Credibility: Where is the product distributed?



Distribution lends two credibilities - scale (mass = 'a real brand') and vetting (a selective or clinical gatekeeper = 'it's legit'). Brands climb the ladder

4 How defensible is the company?

● strong ● moderate ○ none

	Patent (owned)	Trade secret proprietary	Exclusive supply	Own research & thought lead.	Distribution scale	Culturally resonant brand	Community	OVERALL
David protein bar	●	●	●	●	●	●	●	STRONG
Poppi prebiotic soda	○	○	○	○	●	●	●	MODERATE
Skinergy beauty energy drink	○	○	○	○	○	●	●	WEAK
Floura fiber bars	○	●	○	○	○	●	○	WEAK
Lucille nutrition shake	○	○	○	●	○	●	○	WEAK
Unbothered low-FODMAP crackers	○	○	○	●	○	●	●	WEAK
Sourmilk gut yogurt	○	○	○	○	○	●	●	WEAK

Only David is truly defensible with an owned patent + exclusive supply on an accepted ingredient. The rest lean on brand and community, which win share but are easily copied.

SECTION 03

03

Case Studies

Applying the framework

Case study: SKINERGY

SKINERGY

sparkling collagen 'beauty' energy drink

COLLAGEN

Promotes firm plump skin

PEPTIDES

Supports smooth resilient skin

Energy that loves your skin

WILD BERRY

+Collagen
+Caffeine
+Vitamins

NIACINAMIDE

Refines pores evens tone

BIOTIN

Strengthens hair skin & nails

SKINERGY

ZERO SUGAR

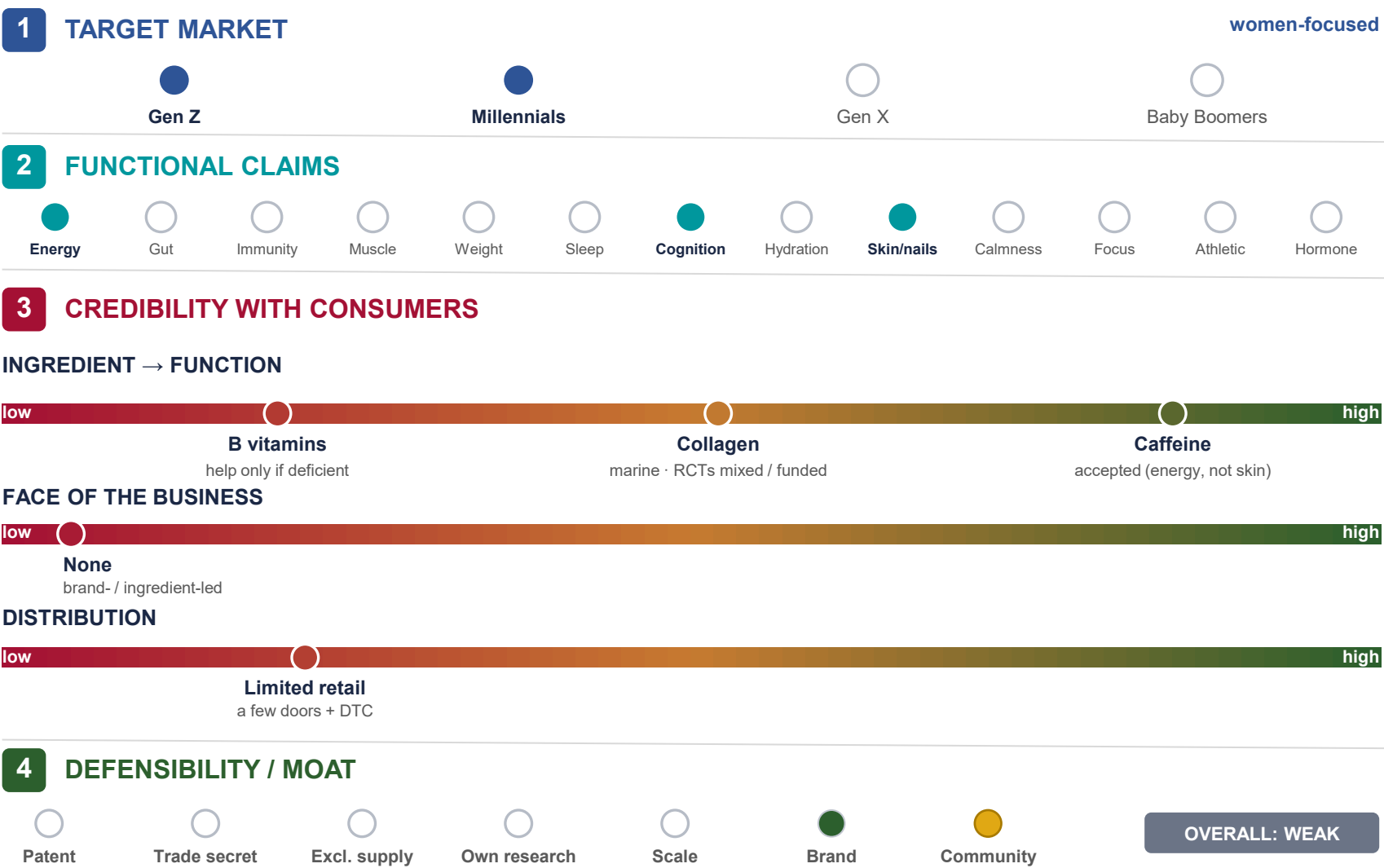
12 FL. OZ (355 ML)

FUNCTIONAL INGREDIENTS

Marine collagen (skin), caffeine + 6 B-vitamins (energy), biotin & niacinamide (skin)

PRICING

~\$2.00 / can (12-pack ~\$24). Premium vs mass energy; on par with functional-soda peers



Case study: SOURMILK

SOURMILK

gut-first Greek yogurt · 'supplement in food form'



FUNCTIONAL INGREDIENTS

L. reuteri + research-backed strains, 50B+ CFU; grass-fed milk; 15g protein, 2 ingredients.

PRICING

Premium (~\$3-4 / cup, DTC). Priced as a supplement in food form.

1 TARGET MARKET

women-focused

Gen Z

Millennials

Gen X

Baby Boomers

2 FUNCTIONAL CLAIMS

Energy

Gut

Immunity

Muscle

Weight

Sleep

Cognition

Hydration

Skin/nails

Calmness

Focus

Athletic

Hormone

3 CREDIBILITY WITH CONSUMERS

INGREDIENT → FUNCTION

low

high

L. reuteri + strains
50B CFU · real dose

Protein 15g
accepted

FACE OF THE BUSINESS

low

high

Founders
Stanford grads

DISTRIBUTION

low

high

DTC / niche
limited retail

4 DEFENSIBILITY / MOAT

Patent

Trade secret

Excl. supply

Own research

Scale

Brand

Community

OVERALL: WEAK

Sourmilk's edge is transparency and dose with named strains, 50B CFU, two ingredients. Letting the food-form vouch instead of a celebrity. Relatable urban-focused founders, thin moat with no patent, no scale.

Case study: FLOURA

FLOURA

next-gen prebiotic fiber bar (chef-founded)

FLOURA

5 bold flavors with gut-friendly fiber for a healthier you.



FUNCTIONAL INGREDIENTS

15g diverse prebiotic fiber from upcycled whole plants (apple cores, watermelon rind); no added sugar.

PRICING

~\$3 / bar (\$36 / 12; ~\$2.69 subscribe). Premium fiber.

1 TARGET MARKET

women-focused

Gen Z

Millennials

Gen X

Baby Boomers

2 FUNCTIONAL CLAIMS

Energy

Gut

Immunity

Muscle

Weight

Sleep

Cognition

Hydration

Skin/nails

Calmness

Focus

Athletic

Hormone

3 CREDIBILITY WITH CONSUMERS

INGREDIENT → FUNCTION

low

high

Prebiotic fiber 15g
real dose · diverse

FACE OF THE BUSINESS

low

high

Chef

Jeni Britton

DISTRIBUTION

low

high

DTC / specialty
niche

4 DEFENSIBILITY / MOAT

Patent

Trade secret

Excl. supply

Own research

Scale

Brand

Community

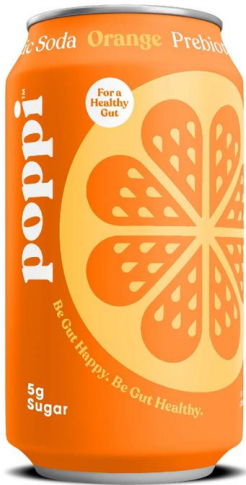
OVERALL: WEAK

Floura pairs a real fiber dose (15g) with a chef's halo (Jeni Britton) and a differentiated upcycled-fiber process. But it isn't patented and distribution is niche. The moat is founder + taste, not IP.

Case study: poppi

POPPI

prebiotic soda · ACV + fiber, flavor-first



FUNCTIONAL INGREDIENTS

Apple cider vinegar; ~2g prebiotic agave fiber; ~20 cal, ~5g sugar.

PRICING

~\$2.00-2.50 / can (~\$30 / 12-pack). Premium vs mass soda; brand-priced.

1 TARGET MARKET

Gen Z

Millennials

Gen X

Baby Boomers

women-focused

2 FUNCTIONAL CLAIMS

Energy

Gut

Immunity

Muscle

Weight

Sleep

Cognition

Hydration

Skin/nails

Calmness

Focus

Athletic

Hormone

3 CREDIBILITY WITH CONSUMERS

INGREDIENT → FUNCTION



FACE OF THE BUSINESS



DISTRIBUTION



4 DEFENSIBILITY / MOAT

Patent

Trade secret

Excl. supply

Own research

Scale

Brand

Community

OVERALL: MODERATE

Poppi won on brand, flavor and a 20-cal halo. It didn't focus on marketing fiber. The moat is brand + community + PepsiCo scale, not science.

Case study: Unbothered

UNBOTHERED

low-FODMAP fermented sourdough crackers · RD-founded



FUNCTIONAL INGREDIENTS

Fermented sourdough crackers (24-hr ferment);
Low-FODMAP

PRICING

Premium craft – DTC (weekly shipping) + ~45
stores.

1 TARGET MARKET

Gen Z

Millennials

Gen X

Baby Boomers

2 FUNCTIONAL CLAIMS

Energy

Gut

Immunity

Muscle

Weight

Sleep

Cognition

Hydration

Skin/nails

Calmness

Focus

Athletic

Hormone

3 CREDIBILITY WITH CONSUMERS

INGREDIENT → FUNCTION

low

high

Sourdough ferment
aids digestibility · emerging

Low-FODMAP
IBS symptom avoidance · clinical

FACE OF THE BUSINESS

low

high

RD founder
Morgan Murdock, RDN

DISTRIBUTION

low

high

Local + DTC
~45 stores (Chicago) + DTC

4 DEFENSIBILITY / MOAT

Patent

Trade secret

Excl. supply

Own research

Scale

Brand

Community

OVERALL: WEAK

Unbothered pairs a credible RD founder with an accepted mechanism, low-FODMAP + fermentation, clinically supported for IBS symptom avoidance. Small, regional, DTC craft brand: credibility high, defensibility thin.

Case study: David Protein

DAVID

28g protein, 150-cal bar · science-led



FUNCTIONAL INGREDIENTS

4-way protein (milk isolate, collagen, whey, egg); EPG low-cal fat; 28g protein, 0 sugar.

PRICING

~\$3 / bar. Premium; sold on protein-per-calorie.

1 TARGET MARKET



Gen Z



Millennials



Gen X



Baby Boomers

2 FUNCTIONAL CLAIMS



Energy



Gut



Immunity



Muscle



Weight



Sleep



Cognition



Hydration



Skin/nails



Calmness



Focus



Athletic



Hormone

3 CREDIBILITY WITH CONSUMERS

INGREDIENT → FUNCTION

low

EPG (low-cal fat)

novel · processing Qs

Protein 28g

accepted · fast

high

FACE OF THE BUSINESS

low

Founder (Rahal)

RXBAR founder

Celeb-MDs

Huberman, Attia

Obesity Scientist

David Allison, Ph.D

high

DISTRIBUTION

low

DTC + retail

expanding

high

4 DEFENSIBILITY / MOAT



Patent



Trade secret



Excl. supply



Own research



Scale



Brand



Community

OVERALL: STRONG

David built a real moat. Bought Epogee to own the EPG patent and lock out rivals, on an accepted ingredient (protein) with a science-forward cast (Attia MD, Huberman, Rahal). Credibility AND defensibility.

Case study: Lucille Health

LUCILLE

complete nutrition shake for older adults



FUNCTIONAL INGREDIENTS

20g milk-protein isolate, 6g chicory-root fiber, avocado oil, 23 vitamins/minerals; simple ingredients.

PRICING

Premium (DTC + senior-living foodservice).

1 TARGET MARKET



Gen Z



Millennials



Gen X



Baby Boomers

2 FUNCTIONAL CLAIMS



Energy



Gut



Immunity



Muscle



Weight



Sleep



Cognition



Hydration



Skin/nails



Calmness



Focus



Athletic



Hormone

3 CREDIBILITY WITH CONSUMERS

INGREDIENT → FUNCTION

low



Chicory-root fiber
accepted



Protein 20g
accepted

high

FACE OF THE BUSINESS

low



Founder (Jess)



RDs

high

Academic inst.
Harvard Chan

DISTRIBUTION

low



Senior-living
+ foodservice / DTC

high

4 DEFENSIBILITY / MOAT



Patent



Trade secret



Excl. supply



Own research



Scale



Brand



Community

OVERALL: WEAK

Lucille leads with the strongest credibility signal (Harvard Chan) aimed at an underserved segment (older adults). But the formula is guided by academics, not owned; accepted ingredients, no patent or scale.

SECTION 04

04

Other Considerations

What’s the optimal functional ingredient carrier?

% CONSUMER INTEREST BY FORMAT

	Beverages	Snacks	Desserts	Entrees/ meals	Bars	Any format
Added protein	22	32	23	36	34	63
Fruit superfoods	25	31	33	26	29	62
Added fiber	17	29	20	30	32	58
Probiotics	25	24	20	24	23	53
Vegetable superfoods	17	21	17	31	17	52
Antioxidants	24	22	19	22	21	51
Electrolytes	30	16	14	15	16	48
Caffeine	24	13	13	12	12	44
Collagen	16	17	16	17	16	40
Adaptogens	15	14	14	14	15	35
Melatonin	10	12	11	12	12	31

Consumers have strong desire to add **protein**, **fiber** and **superfoods** to their diet – food groups that are **notoriously hard to digest**

The highest demanded functional food carriers are **entrees / meals**

OTHER CONSIDERATIONS

WHERE VOLUME SELLS

~82% of functional F&B still sells offline

Lean on in-person experiences to build credibility

REACH & HABITS

Mass formats (soda, dairy) reach most
Habit stacking encourages repeat purchases

Choose high household penetration categories

FORMULATION FEASIBILITY

Actives must survive processing & shelf

Leverage cold formats to protect enzymes

FLAVOR & PALATABILITY

Functional ingredients may carry off-tastes that must be masked

Pair function with appealing sensory

Source: Mintel — Food & Drink Functional and Nutrition Claims, US 2026 (Q6; n=2,000; fieldwork Mar 2026). 'Any format' = interested in at least one product type.

What will customers pay for? What are the risks to manage?

WHAT CUSTOMERS WILL PAY FOR	THE RISKS TO MANAGE
Table stakes Taste, price and quality. Winners have to meet these	First-mover cost You pay to educate the market; once proven, incumbents enter with scale, shelf and price. Low switching costs, weak loyalty
A health premium ~2 in 3 consumers say they would pay 10%+ for a healthier version	Regulatory & evidence New claims invite FTC / FDA scrutiny before norms and safe-harbor language exist
Convenience premium They will also pay up to save time and effort	Dose & ‘fairy-dusting’ Under-dosing below the clinically effective level erodes efficacy and trust; the real dose must survive format + shelf
	Convenience & scale Convenience and distribution scale are the incumbent’s advantage
	The say-do gap Shoppers aspire to eat healthier. The opportunity is real but conditional. Consumers pay a premium only when the benefit is credible, visible and convenient.